



Sector at a glance

Outbound tourism

Tourism in India

DRAFT

Sector at a glance

Tourism

Outbound Tourism

The 'Sector-at-a-Glance' provides an easy-to-read overview for anyone looking to develop a basic understanding of a sector, sub-sector, or thematic area. The facts and insights on the sector are supported by relevant data and best practices where available from credible government and multilateral sources. The document covers the structure, key trends, opportunities and challenges, and government initiatives being undertaken in the sector. Finally, a 'Way Forward' section sets out the major developments that will shape the future of the sector.

Suggested citation:

NITI Aayog (2023). <Tourism>.NITI Aayog Sector-at-a-Glance Series.2023– Outbound Tourism-Tourism in India-SAG-03, <link>

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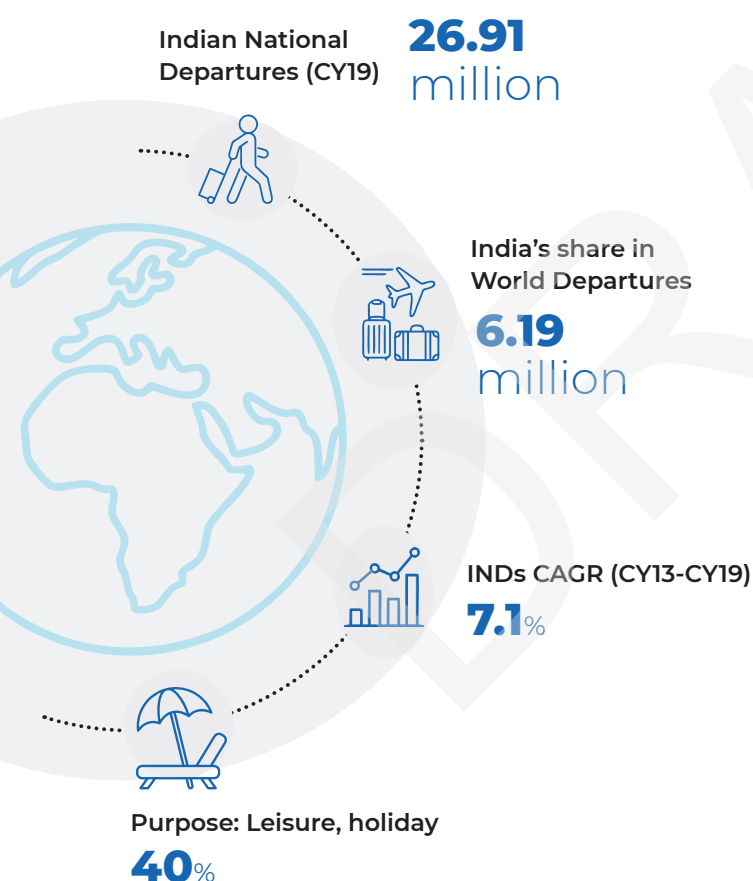
Overview



Outbound tourism enriches individuals by facilitating exposure to diverse cultures, fosters global understanding, dispels stereotypes and builds diplomatic ties. Beyond personal enrichment, it strengthens diaspora connections and positions India as a prominent source market for global travel, reflecting its economic growth and dynamic tourism landscape.

In calendar year 2019, the country recorded **27¹ million** Indian national departures (INDs), securing the **15th¹** position in global tourist departures with a **2.4%¹** market share, up from 1.9% in 2013.

Figure 1: Snapshot of outbound tourism



Outbound tourism yields a multitude of benefits for individuals, the broader economy, and international relations. At a personal level, it enriches individuals by exposing them to diverse cultures, traditions and ways of life, customs, gastronomical delights and landscapes and a more comprehensive worldview. This interaction fosters tolerance and contributes to building stronger diplomatic ties, essentially transforming tourists into unofficial ambassadors.

Beyond cultural exchanges, outbound tourism generates social and cultural advantages, promoting global awareness and strengthening diaspora connections. It enhances national prestige and branding, resulting in increased global recognition and an improved international image. India's burgeoning outbound tourism sector stands testimony to its robust economic growth and favourable demographic trends, positioning itself as a significant source market for global outbound travel, teeming with immense potential and opportunities within its dynamic tourism landscape.

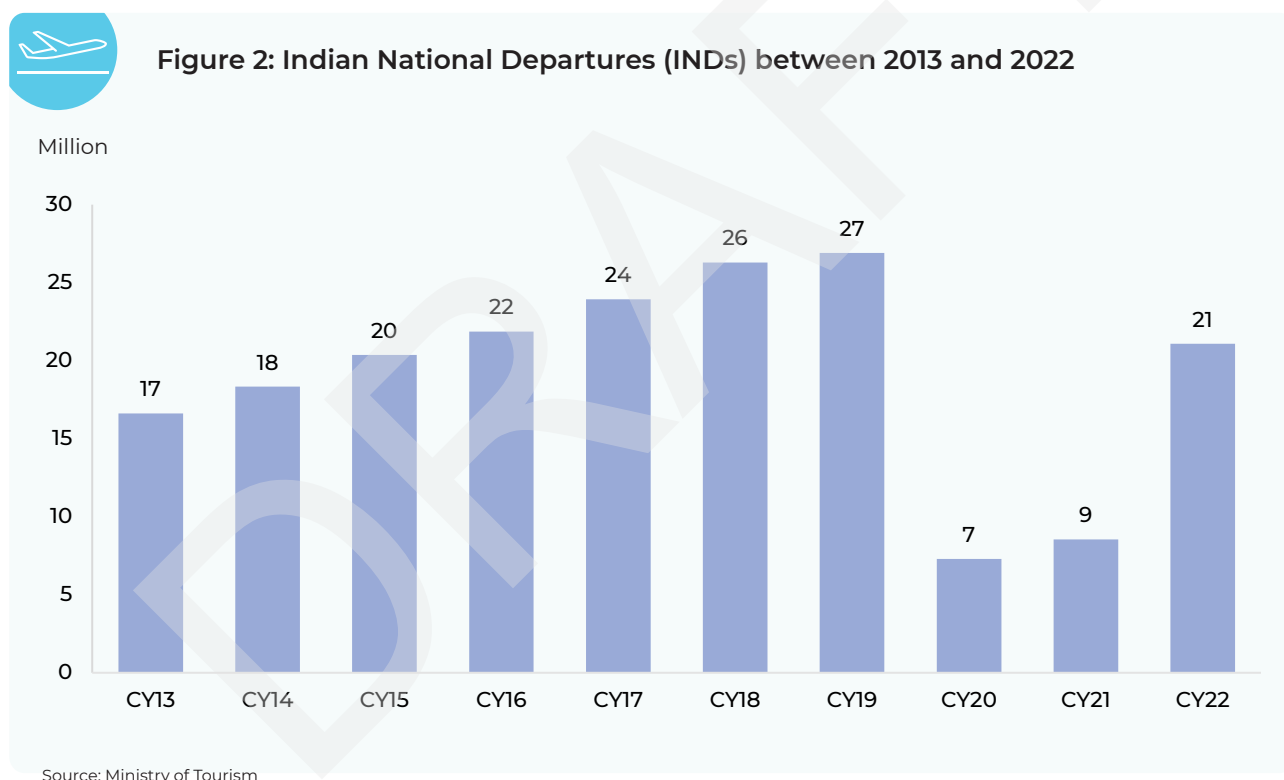
Note: Due to the outsized impact of the Covid-19 pandemic on the tourism sector between calendar years 2020 and 2022, data for 2019 has been taken into account for a more representative analysis.
Source: Ministry of Tourism

¹ Ministry of Tourism



Sectoral trends

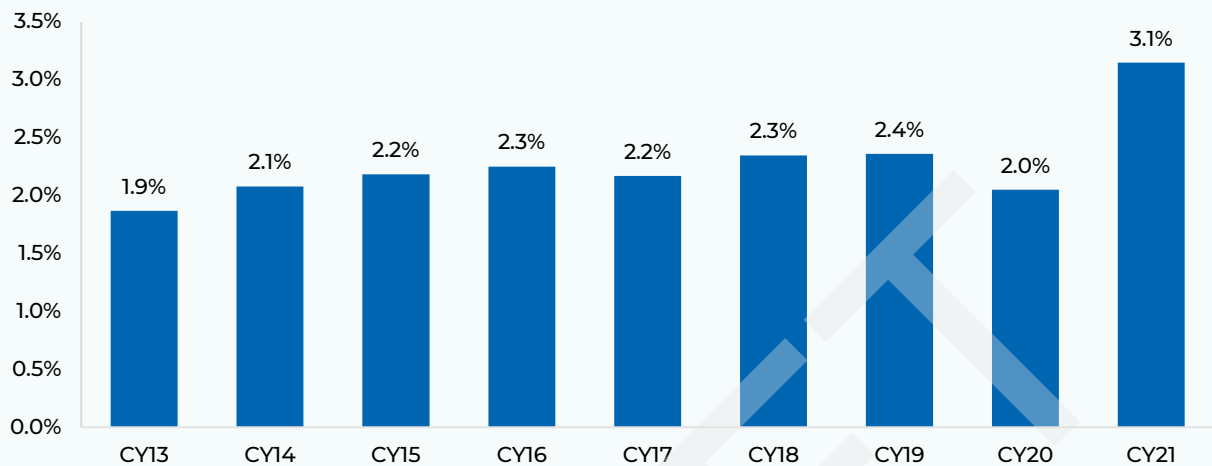
In calendar year 2022, INDs totalled 21 million, indicating recovery from the impact of Covid-19 but below the pre-pandemic peak of 27 million in 2019. IND logged a compound annual growth rate (CAGR) of 7% between calendar years 2013 and 2019. In comparison, the global outbound tourist departure logged a CAGR of 4% during the same period signifying India's peaking outbound travel activity, coupled with the impact of a lower base. Data until calendar year 2019 is considered as a more accurate reflection of outbound tourist trend as the pandemic had disrupted the sector in 2020 and 2021. Despite travel restrictions in calendar year 2021, outbound tourists recorded a modest recovery of 17% on a low base. Notably, air travel accounted for approximately 98% of tourist departures from India.



In 2019, India ranked 15th in global tourist departures with a 2.4% share, up from 1.9% in 2013. Being one of the fastest-growing large economies with improving per capita income, rising propensity to spend, a younger population and better air connectivity, the country is well-positioned to become one of the largest sources of outbound travellers.

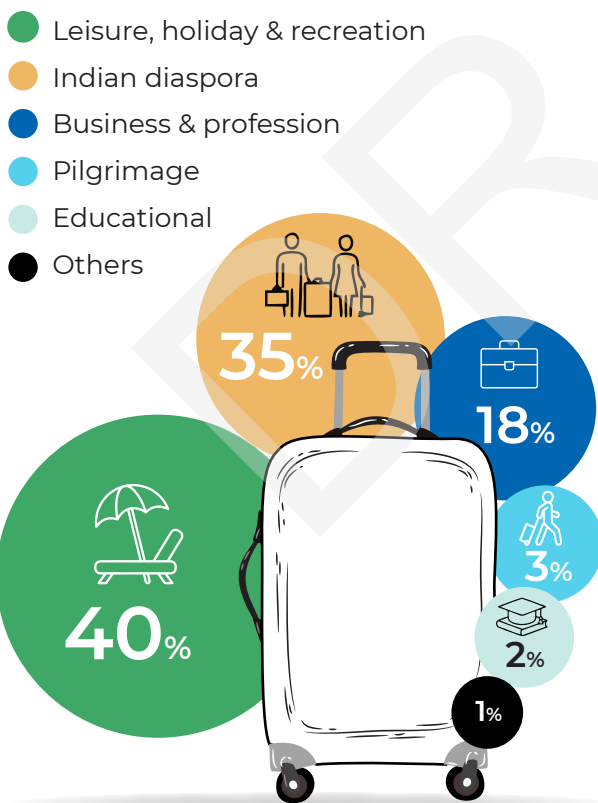


Figure 3: Share of India in world departures between 2013 and 2021



Source: Ministry of Tourism

Figure 4: INDs by purpose



Purpose of travel

INDs' largest segment comprises 40% of leisure travel departures with individuals and families embarking on vacations to explore new destinations. Another significant category is diaspora travel, accounting for 35%. Many Indians residing abroad visit the country to meet friends and relatives. As much as 18% is business travel, with professionals and entrepreneurs travelling to attend meetings, conferences and to seek commercial opportunities. Pilgrimage travel accounts for 3%. With students pursuing higher studies and participating in exchange programmes, education-related travel also has a notable share of 2%. Additionally, 1% of departures fall under the other category, encompassing medical tourism, sports events and visiting friends or relatives. These diverse travel purposes collectively shape India's outbound travel patterns and contribute to the growth and dynamism of the industry.

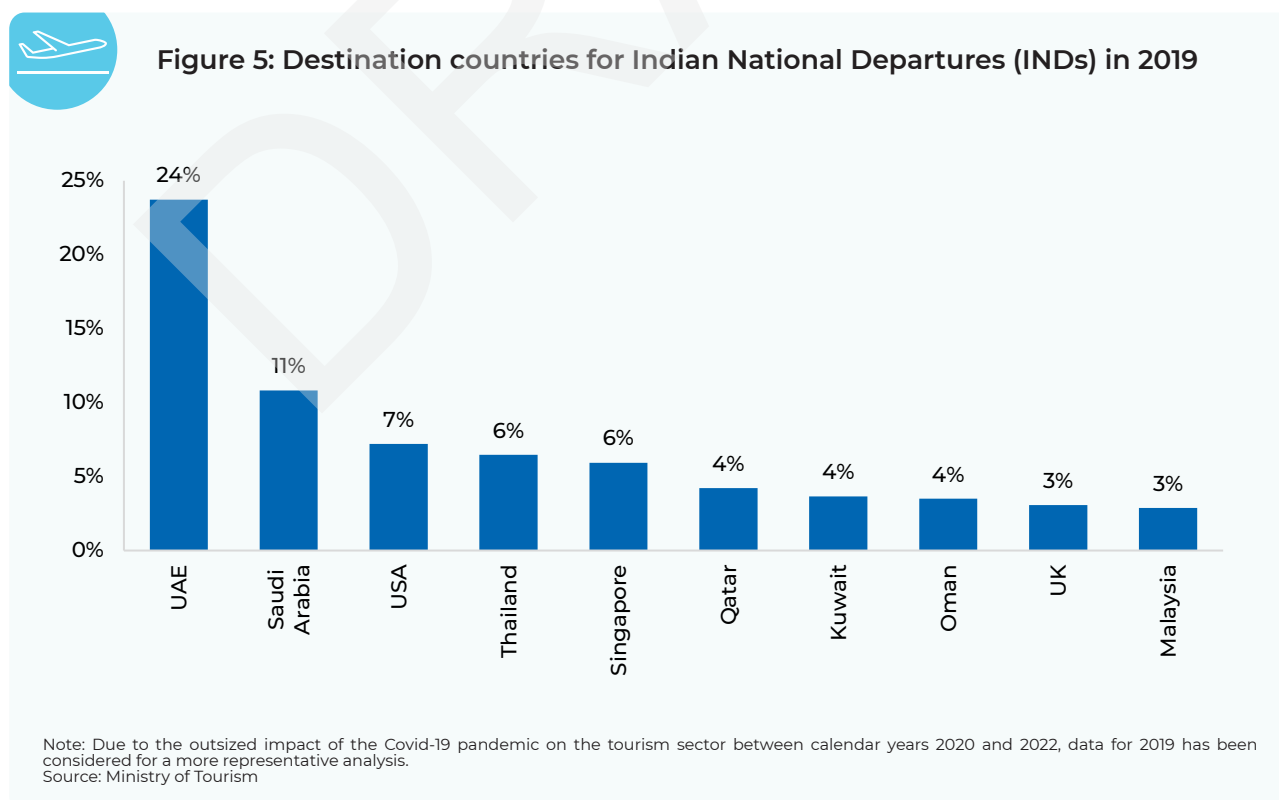
Note: Due to the outsized impact of the Covid-19 pandemic on the tourism sector between calendar years 2020 and 2022, data for 2019 has been taken into account for a more representative analysis.
Source: Ministry of Tourism

Destination countries for Indian National Departures (INDs)

UAE has consistently been the top outbound market for India, accounting for 24% of INDs because of its proximity, seamless flight connectivity, luxury shopping avenues, employment opportunities, diverse attractions, business opportunities and onward flight connectivity to other destinations. Notably, 53% of departures fall under the Indian diaspora segment, with holiday, leisure and recreational travel accounting for 34% and business and professional engagements at 13%. Cities such as Dubai and Abu Dhabi offer a blend of cultural encounters, shopping, world-class entertainment and luxury experiences that appeal to Indian travellers.

Saudi Arabia stands as the second-largest market for India's outbound tourists, fuelled by a substantial migrant population from India, constituting 11% of INDs. Pilgrimage emerges as the second most prevalent purpose for outbound travel to Saudi Arabia, representing 29% of INDs owing to the presence of historical landmarks and sites of religious significance. Additionally, the business and professional segment contributes significantly, accounting for 19% of INDs. This is fuelled by robust exports to Saudi Arabia, underscoring the diverse motivations behind India's outbound travel to this dynamic and culturally significant destination.

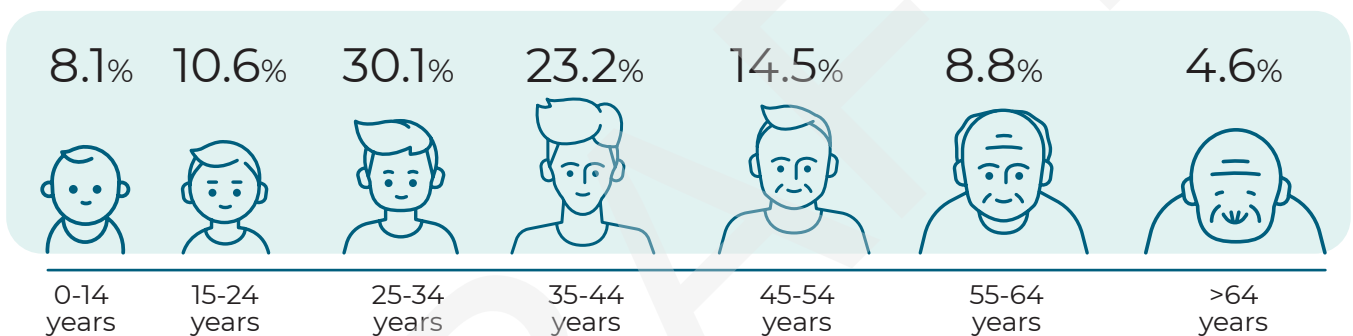
The United States of America (USA) captivates Indian travellers with its iconic cities, renowned theme parks and scenic landscapes, making leisure, holidays and recreation the dominant purpose for INDs at 7%. With a substantial migrant population in the USA, the Indian diaspora constitutes 29% of INDs, benefitting from a robust workforce and the US being the world's largest economy. This dynamic landscape contributes significantly to the business and professional segment, accounting for 24% of INDs, showcasing the multifaceted appeal that draws Indian travellers to the USA for various purposes, from leisurely exploration to professional engagements.



Age group of Indian National Departures (INDs)

The age distribution of INDs reveals interesting patterns in travel preferences. The largest share of outbound travellers comes from the 25-34 age group, constituting 40% of INDs. This demographic often seeks adventurous experiences, exploring new cultures and embracing various destinations worldwide. Following closely, the 35-44 age group represents 23% of INDs, comprising individuals in their prime working years who may embark on a mix of business and leisure trips. Additionally, the 45-54 age group constitutes 14.5% of INDs, with travellers often seeking leisurely vacations and more laid-back travel experiences. The significant representation of the 25-44 age groups in outbound travel highlights the active and adventurous nature of this segment, contributing to the vibrant travel landscape of India.

Figure 6: Age-group distribution of departing tourists



Note: Due to the outsized impact of the Covid-19 pandemic on the tourism sector between calendar years 2020 and 2022, data for 2019 has been taken into account for a more representative analysis.
Source: Ministry of Tourism

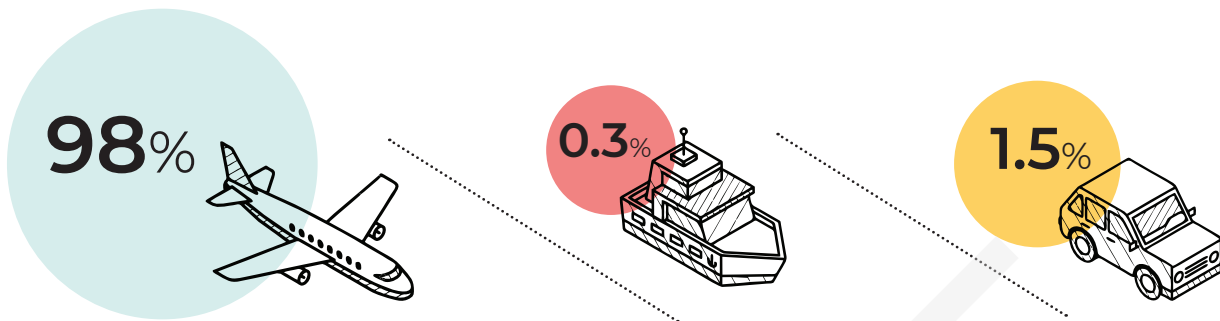
Connectivity

Air travel is the preferred mode of transport for 98% of INDs. This popularity can be attributed to the country's improved air connectivity after airport infrastructure upgrades and the international expansion of low-cost carriers (LCCs) offering affordable options for short-to-medium-haul destinations.

Sea transport, on the other hand, accounts for only 0.3% of INDs and is mainly dominated by cruise trips. While cruise travel is more expensive, it offers a leisurely and immersive experience for travellers. Various cruise lines provide itineraries departing from Indian ports, offering all-inclusive vacation options with entertainment, dining and sightseeing opportunities.

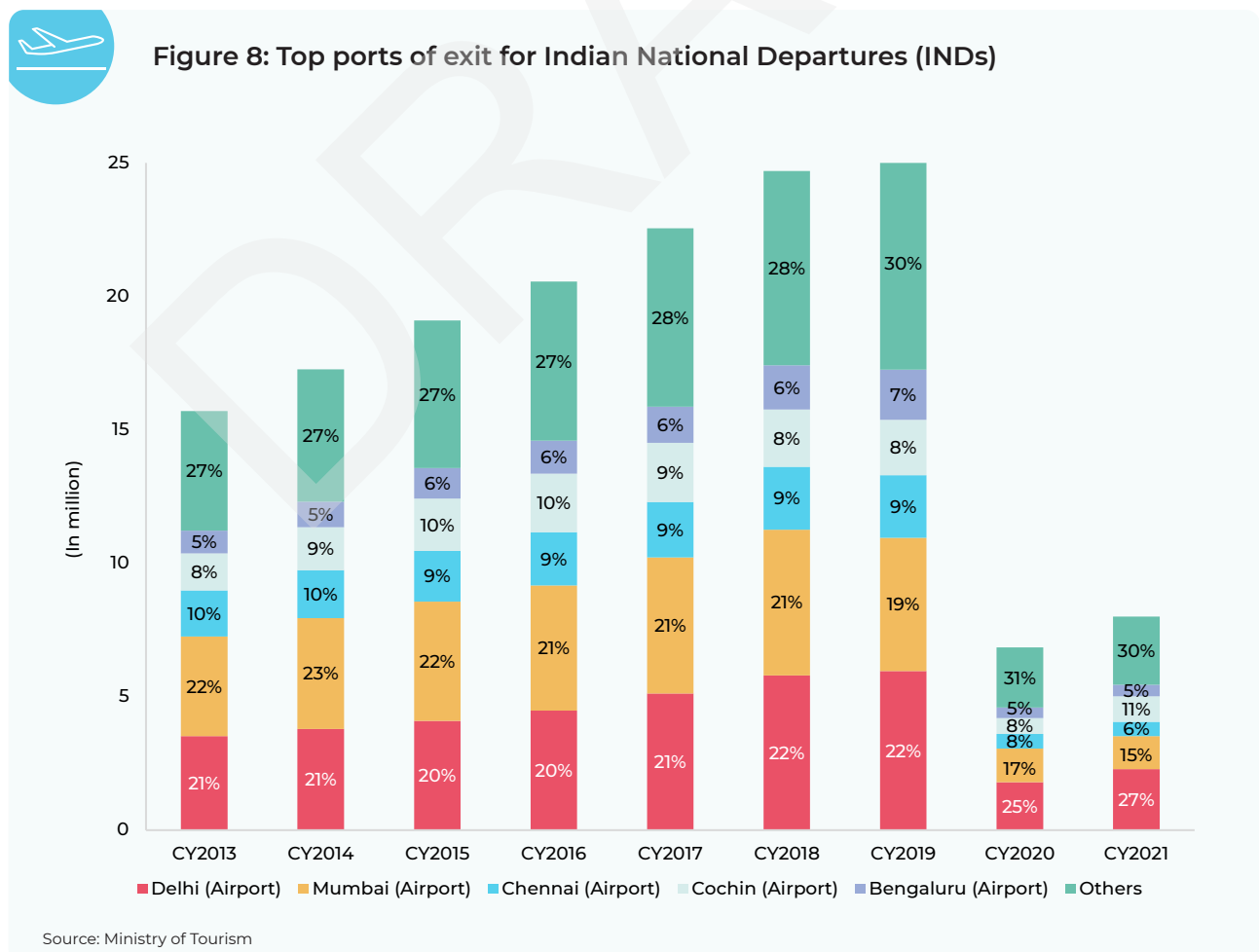
Road travel is mostly utilised by travellers heading to neighbouring countries with good road connectivity, such as Bhutan and Nepal.

Figure 7: Modes of transport for Indian National Departures (INDs)



Note: Due to the outsized impact of the Covid-19 pandemic on the tourism sector between calendar years 2020 and 2022, data for 2019 has been taken into account for a more representative analysis.
Source: Ministry of Tourism

Delhi and Mumbai airports together account for 40% of all INDs being the largest airports in the country that provide connectivity to numerous destinations. Following closely are Chennai and Cochin, which handle substantial migratory traffic.



C1

POWER BANKS ARE NOT ALLOWED IN THE CHECK-IN BAGGAGE

THE FOLLOWING ARE THE ITEMS THAT ARE NOT ALLOWED IN THE CHECK-IN BAGGAGE:

- Power banks
- Portable chargers
- External hard drives
- External SSDs
- External monitors
- External speakers
- External keyboards
- External mice
- External webcams
- External cameras
- External sensors
- External actuators
- External relays
- External switches
- External buttons
- External LEDs
- External displays
- External screens
- External monitors
- External speakers
- External keyboards
- External mice
- External webcams
- External cameras
- External sensors
- External actuators
- External relays
- External switches
- External buttons
- External LEDs
- External displays
- External screens

C2

HAVE YOU DECLARED THESE ITEMS IN BAGGAGE?

- Power banks
- Portable chargers
- External hard drives
- External SSDs
- External monitors
- External speakers
- External keyboards
- External mice
- External webcams
- External cameras
- External sensors
- External actuators
- External relays
- External switches
- External buttons
- External LEDs
- External displays
- External screens



Growth drivers

Rising incomes



- The growth in disposable incomes, driven by rising overall incomes, serves as a potent catalyst for the expansion of outbound tourism from India. The number of **taxpayers** reporting **incomes exceeding Rs 10 lakh** has surged from 22,04,378² in fiscal 2014 to **83,61,294** in fiscal 2022, reflecting a robust CAGR of 18%. A rising income base leads to improved disposable incomes enabling outbound tourism
- Nevertheless, due to India's per capita **net national income** standing at **Rs 1,72,000** in fiscal 2023, outbound tourism remains confined to a specific segment of the population

Young population



- India's tourism sector is boosted by its age demographics, with over **65%³ of the population** falling in the **age group of 15 to 64**. This substantial working-age segment possesses higher disposable incomes and a strong inclination for travel. The expanding middle class, driven by a desire for diverse experiences, actively contributes to the rise in international tourism. This demographic advantage becomes a driving force behind the increased demand for various forms of tourism, including heritage exploration, adventure activities and leisure vacations

Liberalisation of air travel



- International expansion of **domestic low-cost carriers** (LCCs) has led to a significant increase in their **market share**, rising from 20% in fiscal 2016 to **49%** in fiscal 2023⁴. LCCs, which fly to short-to-medium-haul destinations in Southeast Asia and the Middle East, are more affordable than full-service carriers. LCCs' expansion has boosted outbound tourist departures from the country. Outbound travel surged 7.1%⁵ CAGR between calendar years 2013 and 2019 in line with improving capacity on international routes recording a 7% CAGR between fiscals 2014 and 2020 despite the grounding of a major Indian carrier with significant international operations
- However, with only three Indian airlines operating long-haul widebody aircraft as of September 2023, domestic carriers handle just 40%⁶ of the country's international traffic, underscoring substantial reliance on foreign carriers

² Income Tax Department

³ World Bank estimates

⁴ Directorate General of Civil Aviation – Calculated based on data made available by DGCA

⁵ Ministry of Tourism

⁶ Directorate General of Civil Aviation – Calculated based on data made available by DGCA

Increasing use of social media



- The increasing penetration of social media has benefitted outbound travel. Platforms such as **Instagram (516.97 million users in India as of August 2023)** and **Facebook (448.1 million users in India as of August 2023)** have opened avenues to share and view travel experiences and photographs. Such stories and posts influence, inspire and entice more people to embark on similar journeys and discover the world beyond their borders

Ease in acquiring visas and cost of travel



- With four nations in the south and southeast Asia waiving visa requirements for Indian nationals, outbound tourism to these destinations is expected to improve owing to reduced friction of obtaining visas. Their proximity to India, coupled with numerous flight options, even from tier-2 and tier-3 cities and the dominance of LCCs on these routes, make flying more affordable and enhance accessibility to these destinations



Way forward



Improving India's passport strength

- The Indian passport is ranked 80th out of 199 in the Henley Passport Index⁸. As a result, visa-free access is available to only 57 destinations, especially those located in the Caribbean and Africa regions, which have no direct connectivity and where flight costs are high. Improving India's passport strength will eliminate the hassles in obtaining visas enabling travellers to explore global destinations without visa restrictions, which will, significantly boost outbound tourist flows



Improving direct flight connectivity

- Enhancing connectivity to and from India will be beneficial for outbound tourism as it will reduce travel time and expenses, improve accessibility to international destinations, open more travel options and facilitate efficient travel planning. India has entered into **air service agreements (ASAs) with 116⁹ countries** for airline connectivity, but not all of them have been utilised. Operationalising current ASAs, while entering into more such agreements, will improve tourist flows from India



Improving road connectivity for international travel

- Facilitating seamless outbound travel requires strategic focus on improving cross-border connectivity and streamlining visa procedures. Investment in robust travel infrastructure, promotion of road safety measures and reliable travel information are key to inspiring confidence, especially for international road trips. Recent initiatives, such as the '**Maitri Setu**' connecting Tripura and Bangladesh and the construction of a rail-road bridge by Bangladesh over river Padma showcase commitment to enhancing regional connectivity, reducing travel time and fostering a positive outlook for outbound tourism

8 Henley Passport Index
9 Ministry of Civil Aviation

Improving rail connectivity for international travel



- Investing in upgraded rolling stock and railway stations, coupled with cross-border rail connectivity on the lines of Eurail in Europe, can encourage travellers to make international rail trips. At present, India maintains an international rail network linking Bangladesh, Nepal and Pakistan. Future plans include establishing a 57.5 km railway line to seamlessly connect Kokrajhar in Assam with Gelephu in Sarpang, Bhutan¹⁰. Additionally, the Indian Railways has announced a 223 km rail line from Aizawl to Hbichhuah in Mizoram near the Myanmar border, indicating ongoing efforts to expand cross-border rail connectivity in the region¹¹

Improving cruise tourism



- To improve outbound cruise tourism, the government can collaborate with cruise lines to introduce attractive packages tailored for Indian travellers. Investing in modernising port facilities, streamlining visa processes and conducting marketing campaigns to raise awareness about the unique cruise experiences available can boost the popularity of cruise travel among Indian tourists. The country's first cruise vessel, **MV Empress**, was launched in June 2023. **Ganga Vilas Cruise**, the largest river cruise in the world, was launched in January. Highlighting the success of leading global cruise lines like Carnival Corporation (12.9¹² million passengers in 2019), Royal Caribbean Cruise (6.6¹³ million passengers in 2019), and Norwegian Cruise Line (2.7¹⁴ million passengers in 2019) underscores the immense potential for India to tap into the thriving cruise industry, attracting a substantial number of tourists

10 <https://economictimes.indiatimes.com/nri/latest-updates/india-bhutan-soon-to-be-connected-by-train/articleshow/103558972.cms>

11 Raj Bhavan Mizoram

12 Company Annual Report 2019

13 Company Filings – 10K

14 Company Annual Reports 2019



Streamlining forex transactions



- The Indian government is proactively promoting the use of Unified Payment Interface (UPI) for cross-border transactions, resulting in improved international adoption. Countries such as France, Bhutan, Oman, UAE and Singapore have integrated or are in the process of integrating UPI with their payment systems. Extending beyond national borders, UPI is now accessible for both Indians and Non-Resident Indians, enabling international transactions through mobile devices saving forex charges

Improving bilateral relations



- Outbound tourism can be used to foster bilateral relations enabling cultural exchange, facilitating mutual understanding and creating platforms for diplomatic dialogue. It can strengthen cooperation between nations

